

Replacement Campaign Schedule and Cost Ledger

Admitted October 8, 2025

United States District Court for the Western District of North Carolina Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc. Civil Action No. SYN-WDNC-24-CV-0520

This Blue Ember business-record exhibit connects the September 16 rejection of validation lot BE214-VL-2409A with the replacement campaign performed at Aurora Quay Manufacturing Center, 509 Harbor Science Road in Raleigh, North Carolina 27610. It combines a dated activity schedule, project-ledger extracts, invoice reconciliation, and the custodian's classification of ordinary versus incremental work.

Aurora Quay was already within Blue Ember's qualified network for the relevant development work. The dependable replacement campaign began March 3, 2025. The schedule does not claim that every event between rejection and that date was caused by Granite Heron. It identifies the work needed to restore the validation path and separates later independent program events.

The exhibit reports 850,000 dollars of incremental replacement and associated expense. It does not include the 1.35 million dollars embodied in the rejected lot, the separate two-million-dollar delay model, or the unincurred Cobalt Finch estimate. Admission establishes that the ledger and invoices were maintained and reconciled; Granite Heron retains objections to necessity, allocation, causation, foreseeability, credits, and contractual recoverability.

Replacement activity chronology

After the September 16 disposition, Blue Ember confirmed required inputs, vendor availability, and site-readiness tasks. Program staff kept the rejected lot segregated, opened replacement work orders, and preserved the March Aurora Quay capacity while assessing whether any earlier route could be executed. The schedule identifies approvals and work by date rather than compressing them into one undifferentiated delay.

Aurora Quay planning included updated production instructions, material procurement, analytical coordination, campaign staffing, transport arrangements, and quality review. Certain activities adapted existing work; others had to be repeated because the September lot could not serve the validation purpose. The custodian marked each cost line accordingly.

The manufacturing campaign commenced March 3, 2025. Subsequent testing, record review, and program milestones followed their own controlled sequence. This exhibit stops the carrier-attributed replacement ledger at the defined recovery boundary and excludes unrelated expansion, later commercial scenarios, and ongoing ordinary development. The existence of an established March path does not itself decide whether Blue Ember reasonably declined Cobalt Finch's December opportunity; that evidence appears in separate records.

Manufacturing and analytical charges

Replacement manufacturing services total 555,000 dollars. The supporting vendor statements identify reserved suite work, campaign execution, and directly associated record closure. The schedule excludes ordinary future campaigns and amounts already included in the original lot's project cost.

Repeated analytical and release services total 135,000 dollars. These charges cover testing and review required for the replacement material, not the limited investigation testing performed on the quarantined September lot. Invoice identifiers, service periods, and project codes reconcile with the general ledger.

Incremental materials and logistics total 90,000 dollars. The category includes replacement-specific inputs and controlled movements that would not have been required in the same form had the original validation lot remained usable. It excludes routine downstream distribution and unconnected freight.

Granite Heron's audit notes question whether particular activities were fully incremental and whether reused work should receive a credit. Blue Ember's custodian supplied source support and removed items that could not be tied to replacement. The court admitted the records without treating the classification decision as conclusive expert proof.

Technical labor and disposition services

Campaign-specific technical labor totals 45,000 dollars. Blue Ember applied the preexisting project-accounting method to documented replacement tasks and did not load broad executive or corporate overhead. Time lacking a project connection was excluded. The ledger shows the role category, service period, and approval path without exposing fictional employee payroll detail.

Disposition and controlled-destruction services total 25,000 dollars. Those charges cover segregated handling, retained samples, documentation, and final controlled processing of material not released for validation. They do not assert that every vial lacked activity, and they are not part of the original lot's 1.35-million-dollar embodied-cost line.

During review, Blue Ember removed 70,000 dollars of management time initially considered because contemporaneous support did not demonstrate sufficiently specific incremental effort. The exclusion appears in the reconciliation rather than disappearing from the audit trail. No duplicative insurance receipt or vendor reimbursement had been identified through the exhibit date. Any later payment compensating the same invoice must be disclosed and credited once under the court's legal direction.

Reconciliation and category boundaries

The five retained categories reconcile as follows: 555,000 dollars for manufacturing services, 135,000 dollars for analytical and release work, 90,000 dollars for materials and logistics, 45,000 dollars for technical labor, and 25,000 dollars for disposition services. Their sum is 850,000 dollars.

This subtotal is added to, not blended with, the 1.35-million-dollar cost of BE214-VL-2409A. Together they form the 2.2-million-dollar direct-cost position. Blue Ember's two-million-dollar bounded delay claim derives from forecasts and milestone timing rather than these invoices. Keeping the groups separate permits a factfinder to adjust one without silently changing another.

The Cobalt Finch proposal estimated 300,000 dollars of incremental transfer and qualification cost, but Blue Ember never incurred it. That amount belongs only in a hypothetical mitigation comparison if the earlier course is found reasonable and likely effective. It is not present in the 850,000-dollar actual ledger. Likewise, a reduction in delay does not revive the original lot or automatically eliminate replacement invoices.

Custodian certification and limitations

The Blue Ember custodian matched each retained line to an invoice, approved accrual, time entry, material record, or vendor statement. Project codes were in use before the dispute. The reconciliation identifies source date, amount, classification, exclusion, and any known credit so an expert or opposing party can reproduce the subtotal.

Kellan Brooks reviewed these materials when forming his gross-loss opinion. His analysis remains separate from the custodian's authentication. Granite Heron may show that a charge was ordinary, unnecessary, unsupported, limited by contract, or not caused by the transport event. Admission does not shift Blue Ember's burden on gross damages.

The schedule represents an actual replacement path beginning at Aurora Quay on March 3, not a prediction generated by the application. It contains no raw manufacturing-system interpretation and no claim about regulatory approval. The exhibit's purpose is to make timing and cost sources reviewable while preserving disputes about legal consequence and the Cobalt Finch alternative.